

3.5 EFFECT OF A BALANCED BUDGET

MARKING SCHEME

1997/AL/II/04
C

2021/DSE/I/40
A

2016/DSE/I/38
D (deleted)

1993/AL/II/7

If the spending on the airport project is exactly financed by increased taxation of the same amount, the fiscal policy effect (on aggregate demand) is expansionary.

The reason is that if income is not taxed, the private sector will save part of it. If it is taxed, the government will spend all the tax revenue. Therefore the expansionary effect of increased spending is greater than the contractionary effect of increased tax.

(Note: However, taxation, be it a direct tax or an indirect tax, would also have supply-side effects, but these are not considered in the HKAL syllabus.)

2009/AL/II/6(a)

- (i) By increasing disposable income, the cash transfers (Tr) would increase consumption. The aggregate demand would then increase, and thus increase output.
- (ii) If the government simply uses the cash to increase its own expenditure, the aggregate demand would increase by ΔG ($= \Delta Tr$) and thus increase output by a bigger amount. This is because while people will only spend part of the cash transfers on consumption (and save the rest), the government will spend all of it directly.

2016/DSE/II/12

- (a) The relative importance of the gaming industry has been declining because its gross revenue has been falling faster than GDP at current market price. (1)
(1)
- (c) Arguments for:
 - Investment would increase potential output over time, but cash sharing would not have similar long-run effects on the economy. (2)
 - Investment would raise aggregate demand (AD) directly. But the cash-sharing scheme could only raise AD indirectly via an increase in consumption. In case the residents choose not to spend the cash received on consumption, the AD effect would vanish. (2)(max: 3)

Arguments against:

- During economic downturn, a reduction in social welfare due to suspension of the cash-sharing scheme may result in discontent of the citizens and political instability. (2)
 - While people can benefit from the cash-sharing scheme instantly, it may take a longer time for investment to boost their income. (2)
 - Public investment may be inefficient due to high administrative costs or low sensitivity to market / price signals (lack of profit incentives). (2)
- (max: 3)

[Remark: Maximum mark of part (c) is 5 marks]

2024/DSE/II/13(a)

- (a) As shown in Source A, the Government's fiscal balance decreased, going from a fiscal surplus in 2018-19 to a fiscal deficit in 2022-23. (1)
In times of an economic downturn, firms' profits / workers' salaries / property owners' rental income tend(s) to decrease. As a result, the Government's revenue from profits tax / salaries tax / property tax decreases, worsening the fiscal balance. (2)
In times of an economic downturns, the number of unemployed tends to increase. Government expenditure on welfare benefits¹ would increase, reducing the fiscal balance. (2)

max: 4